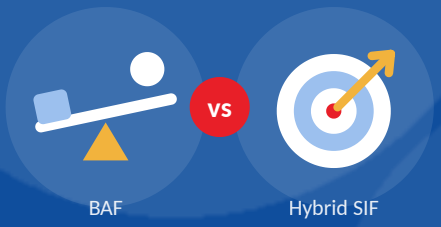
ASSETPLUS

COMPARE BEFORE YOU INVEST

SIF vs Balanced Advantage Funds

Priya's question, answered in plain words



In short: In a falling year, ₹10 lakh in BAFs became ₹9,56,600; in the middle hybrid SIF ₹10,75,100. In March 2026 alone the BAF lost ₹66,900; the SIF ₹19,200.



Priya, 47

Doctor · ₹20 lakh in BAFs

Priya chose balanced advantage funds because they promise to cut equity when markets look expensive. Then March 2026 came and her funds still fell about 7% in a month. She is not leaving equity. She wants one part of her money that falls less.

"I thought 'balanced' meant it would not fall this much."



IN PLAIN WORDS

A BAF is a driver changing gears

It shifts between equity and debt as the road changes. But most BAFs keep 65% or more in equity, so on a bad road you still feel the bumps.



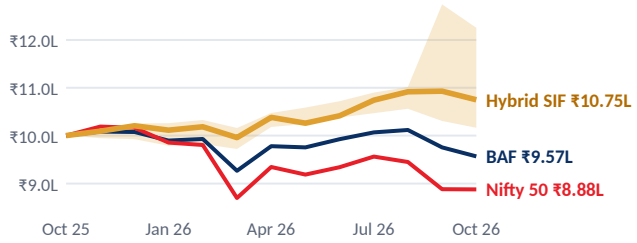
IN PLAIN WORDS

A hybrid SIF carries an umbrella

Most of the money earns steadily in arbitrage and bonds, some sits in shares, and a small 'short' part gains when markets fall. On a rainy day you still get a little wet, just less.

₹10 lakh, 12 months ago

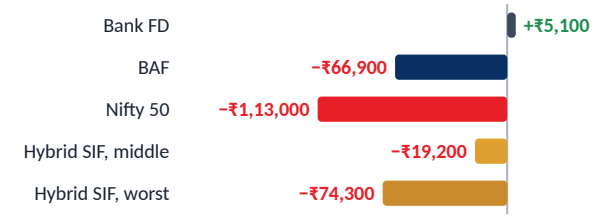
month-end value



Gold band: the 3 hybrid SIFs with a full year; line: the middle one.

The worst month: March 2026

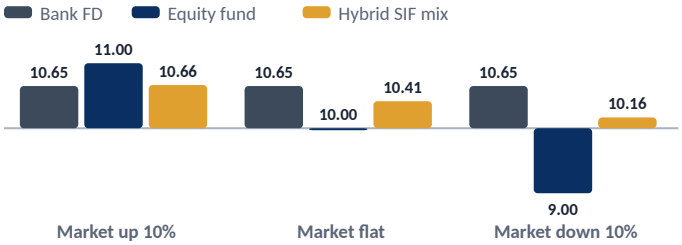
gain or loss on ₹10 lakh



The Nifty fell 11.3% that month. Before tax.

What if, next year?

₹ lakh after 1 year; illustration, not a forecast



Mix: ₹35 shares, ₹10 short, ₹40 arbitrage, ₹25 bonds. Real funds also depend on the manager.

At a glance

	Balanced advantage funds	Hybrid SIF
₹10 lakh became	₹9,56,600	₹10,75,100
Losing months (of 12)	6	4
Tax (30% slab)	Usually equity rules	Per its documents
Money out	Any business day	Set days only
Minimum	Small amounts	₹10 lakh

Hybrid SIF = middle of 3 funds with a full year; they ended between ₹10,16,400 and ₹12,25,600.

Stay with BAFs if

- You want long-term equity growth
- You have 5+ years and can sit through falls
- You want to start small or by SIP

Add a hybrid SIF if

- You want a part that falls less in bad months
- ₹10 lakh can stay for 2+ years
- You accept a shorter track record

Mutual Fund investments are subject to market risks, read all scheme related documents carefully. Past performance may or may not be sustained in future. Investments in Specialized Investment Funds involve relatively higher risk, including potential loss of capital, liquidity risk and market volatility. Please read all SIF related documents carefully before investing. Illustrative, for investor education by AssetPlus; not a recommendation of any scheme or strategy. Tax for a 30% slab investor before cess and surcharge, under today's rules; it depends on each investor's situation. Sources: AMFI SIF and mutual fund NAVs (our calculations, Regular plans, growth), AMFI SIF assets, NSE Indices, RBI, SEBI SIF framework. Data to 23 Oct 2026.